

from 66% in FY19 to 45% in FY25 on account of acquisition of ports on the east coast of India,” it states. Consequently, the east coast’s share of the total cargo is 40%. “Logistics and related businesses contributed around 17% to revenue in fiscal 2025, which will increase going forward.”

Another attribute of the group is its superior execution skills, which is vital for large-scale port projects. In that domain, APSEZ has been helped immensely by its deep experience in bringing projects to fruition.

“Their ability to execute projects in time is an indication of high levels of discipline. Plus, they do not commit till all financial closures are in place,” says Vinit Bolinjkar, Head (Research) at brokerage Ventura Securities.

That ability to execute fast is price-less since the group infrastructure play extends beyond ports to power, gas, roads and airports. According to Bolinjkar, the conglomerate also benefits from “serious visibility over each of these over the next 30-40 years.”

That also stems from its ability to negotiate smartly with borrowers. “They structure the arrangements well. That is obvious in how cash flows are managed efficiently despite very aggressive capex outlays.”

Adani makes it clear that the conglomerate’s objective has been very clear: “To help India in terms of reducing logistics and power costs.”

Bolinjkar, who has tracked the group for a long time, says the genesis of the group’s current prowess lies in how it built up the ports business in a calibrated manner. “Once they started off in the Kutch region, rail lines and all necessary infrastructure was put in place. That allowed for cost efficiencies to get locked into the business model.” Once they got it right there, they began replicating the model across other ports. “That focus on execution at each level has helped them in achieving scale across infrastructure projects, be it power or anything else,” Bolinjkar says.

THE BIG PUSH

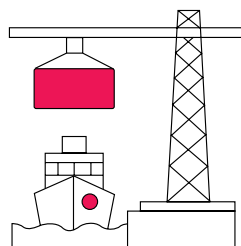
01 **APSEZ has a total capacity of 653 mtpa across 15 ports in India, making it the largest private player**

02 **In FY25, its cargo split was 33% coal, 42% containers, 6% crude and gas, and the rest from other cargo**

03 **The Adani Group, across its businesses, has a ₹2 lakh crore capex plan annually for the next five years**

04 **As part of this, port capacity will increase by 2x from 600 mtpa to 1,200 mtpa**

05 **It is paying attention to execution skills, which are vital for large port projects**



The foreign foray is equally important from a long-term perspective. Bolinjkar says Haifa gives APSEZ a gateway to Europe and Africa. “It is at the trisection of three continents. With the acquisition of assets in south India, it opens up more opportunity. In time to come, APSEZ can seriously compete with both Dubai and Singapore.”

However, the group is facing some testing times now with the war in West Asia, which has impacted trade. “In the last four to five years, there has been constant disruption in the global supply chain. It started with Covid followed by the Suez Canal getting blocked and then the Russian-Ukraine war,” said Adani. He said, starting 2020 the world has entered a new phase where most countries have moved from globalisation of supply chains to regionalisation. “These disruptions do pinch a lot.”

Global trade, according to him, has four chokepoints—the Panama Canal, Suez Canal, Strait of Malacca and Strait of Hormuz. “The whole supply chain gets affected if someone decides to close these. As a country, we have to find a way to derisk ourselves from these events,” he says.

On that note, he emphasises if the Strait of Malacca is affected, Nicobar will play a role, from an Indian perspective, to make the supply chain reliant. “Any infrastructure made in India is going to be used. Once it is in place, trade will find its way.” On the proposed India-Middle East-Europe Economic Corridor, he admits it comes with challenges but “is definitely worth pursuing.”

Seen from APSEZ’s perch, there are many reasons for it to be confident that it could handle every piece of cargo coming into India in the future. For Karan Adani, the ambition isn’t limited to make his company better, it is to help make the nation stronger. “It is extremely critical that we, as a country, make our supply chain even more resilient. We would love to play a part in that.” **BT**

@krishmagopalan